

Canada Bread Company, Limited

Interim Report to Shareholders
For the Second Quarter Ended
June 30, 2012

Canada Bread Company, Limited
Management's Discussion and Analysis

For the second quarter ended June 30, 2012

July 31, 2012

FINANCIAL OVERVIEW

Canada Bread Company, Limited ("the Company") sales for the second quarter were $404.9 million compared to $406.2 million last year. After adjusting for the closure of a bakery and related exit of unprofitable categories in the U.K. and currency translation on sales in the U.S. and U.K., sales increased 0.8%. The increase was mainly due to stronger volumes and selling prices in the North American frozen bakery operations. Sales for the first six months were $775.1 million compared to $778.0 million last year. After adjusting for the sale of the Company's fresh sandwich product line in February 2011, the closure of a bakery and related exit of unprofitable categories in the U.K. and currency translation on sales in the U.S. and U.K., sales increased 1.2%.

Adjusted Operating Earnings[(1)] for the second quarter of $37.4 million were 6.6% higher compared to earnings of $35.1 million last year as improved pricing, sales mix and volumes in the Frozen Bakery segment were partially offset by higher inflationary costs and spending in the Fresh Bakery segment, largely attributable to the fresh pasta business. For the first six months, Adjusted Operating Earnings of $46.2 million were 10.9% lower than earnings of $51.8 million last year, primarily as a result of volume declines in the fresh bakery business in the first quarter of 2012.

Net earnings in the quarter were $26.8 million ($1.05 basic earnings per share) compared to a $14.9 million ($0.59 basic earnings per share) last year and included $1.2 million pre-tax restructuring and other related costs (2011: $12.5 million). Year-to-date net earnings were $27.6 million ($1.09 basic earnings per share) compared to $13.9 million ($0.55 basic earnings per share) last year and included $7.1 million pre-tax restructuring and other related costs (2011: $32.6 million).

Adjusted Earnings per Share[(2)] for the second quarter were $1.09 and $1.30 for the first six months of 2012 compared to $0.97 last year in the second quarter of 2011 and $1.53 in the first half of 2011, which had included $0.10 per share related to a tax adjustment associated with a prior acquisition.

Restructuring and other related costs are excluded from the discussions of underlying earnings performance as these provisions do not reflect the continuing earnings performance of the business. Refer to the section entitled Non-IFRS Financial Measures at the end of this Management's Discussion and Analysis on page 12 for a description and reconciliation of all non-IFRS financial measures.

Notes:

(1) Adjusted Operating Earnings, a non-IFRS measure, is defined as earnings from operations before restructuring and other related costs and other income (expense).

(2) Adjusted Earnings per Share ("Adjusted EPS"), a non-IFRS measure, is defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax.

OPERATING REVIEW

The following table summarizes sales by business segment:

(Unaudited)	Second Quarter		Year-to-Date	
($ thousands)	**2012**	2011	**2012**	2011
Fresh Bakery	**$ 279,164**	$ 282,364	**$ 527,347**	$ 537,449
Frozen Bakery	**125,697**	123,881	**247,758**	240,556
Total Sales	**$ 404,861**	$ 406,245	**$ 775,105**	$ 778,005

The following table summarizes Adjusted Operating Earnings by business segment:

(Unaudited)	Second Quarter		Year-to-Date	
($ thousands)	**2012**	2011	**2012**	2011
Fresh Bakery	**$ 30,507**	$ 33,211	**$ 37,775**	$ 51,196
Frozen Bakery	**6,922**	1,892	**8,415**	631
Adjusted Operating Earnings	**$ 37,429**	$ 35,103	**$ 46,190**	$ 51,827

Management's Discussion and Analysis

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales for the second quarter of $279.2 million were 1.1% lower than sales of $282.4 million last year, primarily due to increased feature pricing activity in the fresh bakery business and lower volumes in the fresh pasta business. Volumes in the fresh bakery business were comparable to last year. During the first six months of 2012, sales of $527.3 million were 1.9% lower compared to $537.4 million last year. After adjusting for the sale of the Company's fresh sandwich product line in February 2011, sales decreased 1.1% as volume declines, largely attributable to the fresh bakery business, more than offset the benefit of price increases implemented during 2011.

Adjusted Operating Earnings in the second quarter declined 8.1% to $30.5 million compared to $33.2 million last year. While results in the fresh bakery business were consistent with last year, there was a significant improvement from the first quarter of 2012 as a result of increased promotional and marketing activities and warm summer weather. However, an underlying decline in consumer demand continues to impact results. Included in results are $0.8 million in duplicative overhead costs related to the commissioning of a new fresh bakery in Hamilton, Ontario and which are expected to continue until early 2013. The Company expects the new bakery to be accretive to operating earnings commencing in 2013, with the closure of the third Toronto bakery and as volumes consolidate into the new Hamilton facility. Results from the fresh pasta business declined due to higher inflationary and operational costs, and increased advertising and promotional spending. Adjusted Operating Earnings for the first six months were $37.8 million, a 26.2% decrease from earnings of $51.2 million last year, primarily as a result of volume declines in the fresh bakery business in the first quarter of 2012.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales for the second quarter were $125.7 million compared to $123.9 million in 2011. After adjusting for the closure of a bakery and related exit of unprofitable categories in the U.K. and currency translation on sales in the U.S. and U.K., sales increased 5.2%. The sales increase was mainly due to stronger volumes and selling prices in the North American frozen bakery operations. Frozen Bakery sales for the first six months of 2012 increased 3.0% to $247.8 million compared to $240.6 million last year. After adjusting for the Company's exit of unprofitable categories in the U.K. and currency translation on sales in the U.S. and U.K., sales increased 6.4% due to similar factors to those discussed above.

Adjusted Operating Earnings in Frozen Bakery for the second quarter of 2012 were $6.9 million compared to $1.9 million last year. Profitability continued to improve due to higher pricing and volumes in the North American frozen bakery operations, an improved sales mix in the U.K. and lower overhead costs resulting from the closure of the Walsall, U.K. bakery in the first quarter of 2012. These benefits were partially offset by higher inflationary costs. For the first six months of 2012, Adjusted Operating Earnings in Frozen Bakery increased to $8.4 million from $0.6 million last year, primarily due to improved performance in the North American frozen bakery operations.

GROSS MARGIN

Gross margin increased to $85.4 million (21.1% of sales) in the second quarter of 2012, from $84.4 million (20.8% of sales) last year as the benefit of price increases, mainly from the Frozen Bakery segment, was mostly offset by inflationary costs across the businesses.

Year-to-date gross margins decreased to $147.2 million or 19.0% of sales, from $156.8 million or 20.2% of sales in the first six months of 2011, primarily driven by industry-wide lower sales volumes in the fresh bakery business experienced in the first quarter of 2012.

SELLING, GENERAL AND ADMINISTRATIVE EXPENSES

Selling, general and administrative expenses in the quarter decreased 2.7% to $48.0 million from $49.3 million last year, representing 11.9% and 12.2% of sales respectively. The decrease was driven by reductions in general and administrative expenses, partially offset by increased advertising and promotional spending at the fresh pasta business.

Year-to-date selling, general and administrative expenses decreased 3.8% to $101.0 million compared to $105.0 million last year, representing 13.0% and 13.5% of sales respectively. The decrease is attributable to cost reductions in general and administrative expenses in the North American frozen operations, as well as lower promotional costs in the U.K. This was partially offset by increased advertising and promotional costs in Fresh Bakery to support product innovations.

OTHER INCOME

Other income for the six months ended June 30, 2012 was $1.4 million compared to $0.1 million for June 30, 2011. The increase was due to a legal settlement of $1.4 million related to the Company's fresh sandwich product line which was sold in 2011.

RESTRUCTURING AND OTHER RELATED COSTS

During the six months ended June 30, 2012, the Company recorded restructuring and other related costs of $7.1 million ($5.5 million after-tax). Of this amount, $1.3 million was recorded in the three months ended June 30, 2012 relating to the ongoing closure of two bakeries in Toronto, Ontario.

During the three months ended March 31, 2012, the Company incurred $5.9 million ($4.6 million after-tax) in restructuring and other related costs. Of this pre-tax amount, $3.7 million related to accelerated depreciation and other costs in connection with the closure of the Walsall, U.K. location. A further $2.0 million related to the closures of two bakeries in Toronto, Ontario and a third in Delta, British Columbia.

The balance of restructuring costs incurred during the three and six months ended June 30, 2012 was in connection with other ongoing restructuring initiatives.

During the six months ended June 30, 2011, the Company recorded restructuring and other related costs of $32.6 million ($24.9 million after-tax). Of this amount, $12.5 million ($9.7 million after-tax) was recorded during the three months ended June 30, 2011. This included $4.6 million in asset write-downs, $3.5 million in lease cancellation costs, and $2.7 million in severance costs related to the sale of, or planned or completed bakery closures in Canada and the U.K., and a transition from company-owned routes to franchisee routes in Atlantic Canada.

During the three months ended March 31, 2011, the Company recorded restructuring and other related costs of $20.1 million ($15.1 million after-tax). Of this pre-tax amount, $11.2 million related to asset write-downs and $2.9 million related to severances, in connection with the sale or closures of facilities in Laval, Quebec, Delta, British Columbia, Cumbria, U.K. and the sale of the sandwich product line. The Company also recorded $5.8 million in severance costs for initiatives related to organizational changes.

The balance of restructuring costs incurred during the three and six months ended June 30, 2011 was in connection with other ongoing restructuring initiatives.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at June 30, 2012 and June 30, 2011, all on a pre-tax basis:

(Unaudited) *($ thousands)*	Severance	Site closing and other cash costs	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at December 31, 2011	**$ 14,975**	**$ 6,776**	**$ –**	**$ 1,196**	**$ –**	**$ 22,947**
Charges	**127**	**1,094**	**4,628**	**35**	**–**	**5,884**
Cash payments	**(8,706)**	**(1,151)**	**–**	**(377)**	**–**	**(10,234)**
Non-cash items	**144**	**(144)**	**(4,628)**	**–**	**–**	**(4,628)**
Balance at March 31, 2012	**$ 6,540**	**$ 6,575**	**$ –**	**$ 854**	**$ –**	**$ 13,969**
Charges	**(419)**	**1,104**	**292**	**35**	**193**	**1,205**
Cash payments	**(2,763)**	**(497)**	**–**	**–**	**–**	**(3,260)**
Non-cash items	**637**	**–**	**(292)**	**(637)**	**(193)**	**(485)**
Balance at June 30, 2012	**$ 3,995**	**$ 7,182**	**$ –**	**$ 252**	**$ –**	**$ 11,429**

(Unaudited) *($ thousands)*	Severance	Site closing and other cash costs	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at December 31, 2010	$ 11,228	$ 1,456	$ –	$ 384	$ –	$ 13,068
Charges	8,701	49	11,138	162	–	20,050
Cash payments	(1,652)	(12)	–	–	–	(1,664)
Non-cash items	–	–	(11,138)	–	–	(11,138)
Balance at March 31, 2011	$ 18,277	$ 1,493	$ –	$ 546	$ –	$ 20,316
Charges	3,318	3,582	5,245	402	–	12,547
Cash payments	(4,004)	(729)	–	–	–	(4,733)
Non-cash items	–	–	(5,245)	–	–	(5,245)
Balance at June 30, 2011	$ 17,591	$ 4,346	$ –	$ 948	$ –	$ 22,885

INTEREST EXPENSE

Interest expense for the second quarter was $0.4 million compared to $0.3 million last year. Year-to-date interest expense was $0.8 million compared to $0.6 million last year.

INCOME TAXES

The Company's income tax expense in the second quarter of 2012 includes tax on earnings from operations before restructuring and other related costs at a rate of 27.9% (2011: 29.4%) and taxes recoverable on restructuring and other related costs at a rate of 26.2% (2011: 22.6%).

The Company's income tax expense for the six months ended June 30, 2012 includes tax on earnings from operations before restructuring and other related costs at a rate of 29.2% (2011: 24.4%) and taxes recoverable on restructuring and other related costs at a rate of 22.9% (2011: 23.8%). The lower tax rate in the six months ended June 30, 2011 on earnings before restructuring charges was a result of the Company recording income tax reductions of $2.4 million, related to adjustments from a prior acquisition in its fresh bakery business. The Company's effective tax rate for the six months ended June 30, 2011 before these adjustments was 29.0%.

Management's Discussion and Analysis

CAPITAL RESOURCES

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program for at least the next 12 months.

Historically, the Company has generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide funding and surplus liquidity.

On June 28, 2012, the Company entered into a new five-year $50.0 million revolving credit facility with Maple Leaf Foods Inc. that bears interest based on short-term interest rates. The new credit facility replaced the Company's $250.0 million revolving credit facility that was due to mature on June 30, 2012. The new facility is unsecured and is subject to certain financial covenants. As at June 30, 2012, $1.6 million (June 30, 2011, $2.4 million) of the revolving facility was utilized. As at June 30, 2012 the Company was in compliance with all of its financial covenants.

As at June 30, 2012, the Company and its subsidiaries had aggregate undrawn credit facilities comprising the above revolving credit facility and other short-term bank operating lines of $86.8 million, excluding accounts receivable securitization programs (2011: $283.1 million), and available cash of $83.6 million (2011: $20.7 million). There were $10.8 million in letters of credit outstanding as at June 30, 2012 (2011: $9.7 million).

To access competitively priced financing, and to further diversify its funding sources, the Company operates an accounts receivable securitization facility. The Company sells certain accounts receivable, with very limited recourse, to an entity owned by an international financial institution with a long-term debt rating of AAA. The receivables are sold at a discount to face value based on prevailing money market rates. At the end of the quarter, the Company had $91.7 million (2011: $125.9 million) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company received cash of $51.9 million (2011: $42.1 million) and a note receivable in the amount of $39.8 million (2011: $83.8 million). The maximum cash available to the Company under this program is $60.0 million.

This facility was accounted for as an off-balance sheet transaction under International Financial Reporting Standards ("IFRS").

CAPITAL EXPENDITURES

Capital expenditures in the second quarter of 2012 were $11.4 million, compared to $34.1 million last year. Year-to-date capital expenditures for the first six months of 2012 were $22.0 million compared to $63.6 million last year. The lower capital spending during the three and six months ended June 30, 2012 is primarily due to the significant expenditures in the prior year that related to the construction of the new fresh bakery in Hamilton, Ontario.

CASH FLOW AND FINANCING

Cash balances, net of debt, were $78.7 million at the end of the quarter, compared to $52.0 million as at December 31, 2011 and $16.7 million at the end of the second quarter of 2011. The increase in cash for the quarter is mainly due to cash generated from operations offset by increased dividend payments and investment in property and equipment.

Cash Flow from Operating Activities

Cash flow from continuing operations in the second quarter of 2012 increased to $61.9 million compared to $4.9 million in the prior year period, as a result of increased earnings, a reduced investment in working capital due to working capital initiatives and a Canada Post strike that slowed the collection of accounts receivable in 2011.

Cash Flow from Financing Activities

Cash flow from financing activities was an outflow of $5.8 million in the quarter compared to an outflow of $1.5 million in the prior year period, due to an increase in the rate of the quarterly dividend payment compared to the prior year period.

Cash Flow from Investing Activities

Cash flow from investing activities was an outflow of $11.3 million for the second quarter compared to an outflow of $34.5 million last year, as a result of decreased capital expenditures.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other receivables in order to mitigate any possible credit losses. As at June 30, 2012, approximately $0.2 million (2011: $1.0 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individual exposures and a provision based on historical trends of collections. As at June 30, 2012, the Company has recorded an allowance for doubtful accounts of $1.9 million (2011: $2.5 million). There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts. The Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

OTHER MATTERS

On July 31, 2012, the Company declared a dividend of $0.50 per share payable on October 1, 2012 to shareholders of record at the close of business on September 7, 2012. Unless indicated otherwise by the Company in writing on or before the time the dividend is paid, this dividend will be considered an Eligible Dividend for the purposes of the "Enhanced Dividend Tax Credit System".

SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Full Year
Sales[(i)]	**2012**	**$ 370,244**	**$ 404,861**	**$ –**	**$ –**	**$ –**
	2011	371,760	406,245	417,171	400,280	1,595,456
	2010	381,932	402,062	411,364	393,079	1,588,437
Net earnings (loss)[(i)]	**2012**	**$ 839**	**$ 26,775**	**$ –**	**$ –**	**$ –**
	2011	(966)	14,904	30,256	7,757	51,951
	2010	12,969	20,949	14,313	13,841	62,072
Earnings (loss) per Share						
Basic and diluted[(i)(ii)]	**2012**	**$ 0.03**	**$ 1.05**	**$ –**	**$ –**	**$ –**
	2011	(0.04)	0.59	1.19	0.31	2.04
	2010	0.51	0.82	0.56	0.54	2.44
Adjusted EPS[(i)(ii)(iii)]	**2012**	**$ 0.21**	**$ 1.09**	**$ –**	**$ –**	**$ –**
	2011	0.56	0.97	1.24	0.67	3.43
	2010	0.56	0.85	0.87	0.62	2.90

(i) Figures are in accordance with IFRS and the net earnings, earnings per share and adjusted earnings per share are based on amounts attributable to common shareholders.

(ii) May not add due to rounding.

(iii) Refer to Non-IFRS Financial Measures starting on page 12.

Quarterly sales in 2012 were affected by the following significant items:

- price increases implemented during 2011 and the first quarter of 2012 in the North American frozen bakery operations
- lower sales volumes in the Company's fresh bakery business during the first quarter of 2012, which improved during the second quarter
- the sale of the fresh sandwich product line at the beginning of 2011
- the Company's exit from fresh and in-store bakery bread production in the U.K. in March 2012.

Quarterly net earnings in 2012 were affected by the following significant items:

- lower sales volumes in the Company's fresh bakery business during the first quarter of 2012, which improved during the second quarter
- inventory write-downs in the fresh pasta business during the first quarter of 2012 and duplicative overhead costs during the first six months related to the Company's new fresh bakery in Hamilton, Ontario
- closure of the Walsall, U.K. facility in March 2012 related to the exit from production of certain bread categories in the U.K.
- lower selling, administrative and general management costs in the frozen bakery operations
- higher inflationary costs in the business
- restructuring and other related costs
- settlement of a legal claim related to the Company's fresh sandwich product line which was sold in 2011.

Quarterly sales in 2011 were affected by the following significant items:

- price increases implemented to offset higher input costs
- the sale of the fresh sandwich product line at the beginning of 2011
- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound which reduced the sales value of frozen bakery products sold in the U.S. and U.K.
- lower sales volumes in the fresh bakery business and frozen bakery operations in the U.S.

Quarterly net earnings in 2011 were affected by the following significant items:

- timing of price increases implemented in 2011 relative to the rise of input costs
- increased advertising and promotion spending as a result of the re-launch of the New York Bakery brand in the U.K.
- the appreciation of the Canadian dollar relative to the U.S. dollar which reduced the cost of U.S. dollar priced ingredients and to a lesser extent, lowered ingredient costs
- benefits from strategic and other cost reduction initiatives, including personnel reduction, network and product simplification, and the closure of a frozen bakery plant in Quebec
- duplicative overhead costs related to the new fresh bakery in Hamilton, Ontario
- supply chain disruptions related to the installation of SAP in the fresh bakery Western Canada operations in the fourth quarter
- restructuring and other related costs
- income tax adjustments of $2.4 million in the first quarter and $9.8 million in the third quarter arising from a prior acquisition in its fresh bakery business, which resulted in a lower tax rate on operating earnings.

For an explanation and analysis of quarterly results, refer to the Company's Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Management's Discussion and Analysis

SIGNIFICANT ACCOUNTING POLICIES

Accounting Standards Adopted During the Period

During the six months ended June 30, 2012, the Company adopted certain amendments to IFRS 7 *Financial Instruments: Disclosures*. These amendments require disclosure of information that enables users of financial statements to understand the relationship between transferred financial assets that are not derecognized in their entirety and the associated liabilities; and to evaluate the nature of, and risks associated with, the Company's continuing involvement in derecognized financial assets. The adoption of these amendments to IFRS 7 did not have any impact on the disclosures of the Company for the three and six months ended June 30, 2012.

Recent Accounting Pronouncements

Financial Instruments Recognition and Measurement

In October 2010, the International Accounting Standards Board ("IASB") published amendments to IFRS 9 *Financial Instruments* (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Assets and Liabilities

In December 2011, the IASB published amendments to International Accounting Standard ("IAS") 32 *Financial Instruments: Presentation* and issued new disclosure requirements in IFRS 7 *Financial Instruments: Disclosures*. The effective date for the amendments to IAS 32 is annual periods beginning on or after January 1, 2014. Certain of the amendments to IFRS 7 were adopted by the Company during the first quarter of 2012, as described above, the remainder of the amendments are to be adopted for annual periods beginning on or after January 1, 2013. These amendments are to be applied retrospectively.

The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset as well as clarify, when a settlement mechanism provides for net settlement, or gross settlement that is equivalent to net settlement. The amendments to IFRS 7 contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. The Company intends to adopt the amendments to IFRS 7 in its financial statements for the annual period beginning on January 1, 2013, and the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The extent of the impact of adoption of the amendments has not yet been determined.

Consolidated Financial Statements

In May 2011, the IASB issued IFRS 10 *Consolidated Financial Statements*. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements*, that addresses consolidation, and supersedes SIC 12 *Consolidation – Special Purpose Entities* ("SPEs"), in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC 12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27.

Joint Arrangements

In May 2011, the IASB issued IFRS 11 *Joint Arrangements*. IFRS 11 supersedes IAS 31 *Interest in Joint Ventures* and SIC 13 *Jointly Controlled Entities – Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures, and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As a result of the issuance of IFRS 10 and IFRS 11, IAS 28 *Investments in Associates and Joint Ventures* has been amended to correspond to the guidance provided in IFRS 10 and IFRS 11.

Disclosure of Interests in Other Entities

In May 2011, the IASB issued IFRS 12 *Disclosure of Interests in Other Entities,* which contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities.

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. Early adoption is permitted, so long as IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are adopted at the same time. However, entities are permitted to incorporate any of the disclosure requirements in IFRS 12 into their financial statements without early adopting IFRS 10, IFRS 11 and the amendments to IAS 27 and IAS 28. The Company intends to adopt IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 has not yet been determined.

Fair Value Measurement

In May 2011, the IASB published IFRS 13 *Fair Value Measurement*, which is effective prospectively for annual periods beginning on or after January 1, 2013. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The Company intends to adopt IFRS 13 prospectively in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 13 has not yet been determined.

Presentation of Financial Statements

In June 2011, the IASB published amendments to IAS 1 *Presentation of Financial Statements*, which are effective for annual periods beginning on or after July 1, 2012 and are to be applied retrospectively. Early adoption is permitted. The amendments require that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The Company intends to adopt the amendments in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of the amendments has not yet been determined.

Employee Benefits

In June 2011, the IASB published an amended version of IAS 19 *Employee Benefits*. Adoption of the amendment is required for annual periods beginning on or after January 1, 2013, with early adoption permitted. The amendment is generally applied retrospectively with certain exceptions. The amendment requires the calculation of expected return on plan assets to be based on the rate used to discount the defined benefit obligation. The amendment also requires other additional disclosures. The Company intends to adopt the amendment in its financial statements for the annual period beginning on January 1, 2013. Where required, the Company will apply this amendment retrospectively. The extent of the impact of adoption of the amendments has not yet been determined.

DISCLOSURE CONTROLS AND INTERNAL CONTROL OVER FINANCIAL REPORTING

There have been no changes in the Company's internal control over financial reporting that occurred during the period beginning on January 1, 2012 and ended on June 30, 2012 that have materially affected, or are reasonably likely to materially affect, the Company's internal control over financial reporting.

NON-IFRS FINANCIAL MEASURES

The Company uses the following non-IFRS measures: Adjusted Operating Earnings, Adjusted EPS, Net Debt and Return on Net Assets. Management believes that these non-IFRS measures provide useful information to both management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

The following tables reconcile earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under IFRS in the unaudited condensed consolidated interim statements of earnings for the three and six months ended, as indicated below. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs and other income (expense) are not representative of operational results.

	Three months ended June 30, 2012		
(Unaudited) *($ thousands)*	**Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			**$ 26,775**
Income taxes			**10,407**
Earnings from operations before income taxes			**$ 37,182**
Interest expense			**391**
Earnings from operations before interest and income taxes	**$ 30,651**	**$ 6,922**	**$ 37,573**
Other income	**(1,349)**	**–**	**(1,349)**
Restructuring and other related costs	**1,205**	**–**	**1,205**
Adjusted Operating Earnings	**$ 30,507**	**$ 6,922**	**$ 37,429**

	Three months ended June 30, 2011		
(Unaudited) *($ thousands)*	**Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			$ 14,904
Income taxes			7,388
Earnings from operations before income taxes			$ 22,292
Interest expense			264
Earnings (loss) from operations before interest and income taxes	$ 30,760	$ (8,204)	$ 22,556
Restructuring and other related costs	2,451	10,096	12,547
Adjusted Operating Earnings	$ 33,211	$ 1,892	$ 35,103

	Six months ended June 30, 2012		
(Unaudited) *($ thousands)*	**Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			**$ 27,614**
Income taxes			**12,030**
Earnings from operations before income taxes			**$ 39,644**
Interest expense			**828**
Earnings from operations before interest and income taxes	**$ 36,063**	**$ 4,409**	**$ 40,472**
Other (income) expense	**(1,580)**	**209**	**(1,371)**
Restructuring and other related costs	**3,292**	**3,797**	**7,089**
Adjusted Operating Earnings	**$ 37,775**	**$ 8,415**	**$ 46,190**

(Unaudited) ($ thousands)	Six months ended June 30, 2011 Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			$ 13,938
Income taxes			4,767
Earnings from operations before income taxes			$ 18,705
Interest expense			603
Earnings (loss) from operations before interest and income taxes	$ 39,228	$ (19,920)	$ 19,308
Other income	(78)	–	(78)
Restructuring and other related costs	12,046	20,551	32,597
Adjusted Operating Earnings	$ 51,196	$ 631	$ 51,827

Adjusted Earnings per Share

The following table reconciles Adjusted Earnings per Share to basic earnings per share as reported under IFRS in the unaudited condensed consolidated interim statements of earnings for the three and six months ended, as indicated below. Management believes this is the most appropriate basis on which to evaluate financial results as restructuring and other related costs are not representative of operational results.

(Unaudited) ($ per share)	Three months ended June 30, 2012	2011	Six months ended June 30, 2012	2011
Basic earnings per share	**$ 1.05**	$ 0.59	**$ 1.09**	$ 0.55
Restructuring and other related costs[(i)]	**0.04**	0.38	**0.21**	0.98
Adjusted Earnings per Share[(ii)]	**$ 1.09**	$ 0.97	**$ 1.30**	$ 1.53

(i) Includes per share impact of restructuring and other related costs, net of tax.
(ii) May not add due to rounding.

Net Debt

The following table reconciles net debt as disclosed in this Management's Discussion and Analysis on page 7 to IFRS amounts in the unaudited condensed consolidated interim balance sheets as at the dates indicated below. The Company calculates net debt as long-term debt and bank indebtedness, less cash and cash equivalents.

(Unaudited) ($ thousands)	As at June 30, 2012	As at June 30, 2011	As at March 31, 2012	As at December 31, 2011
Bank indebtedness	**$ 1,595**	$ –	$ 4,786	$ 3,153
Current portion of long-term debt	**264**	2,323	2,567	2,452
Long-term debt	**3,093**	1,675	1,567	1,634
Sub-total	**$ 4,952**	$ 3,998	$ 8,920	$ 7,239
Cash and cash equivalents	**(83,631)**	(20,671)	(42,070)	(59,223)
Net debt (cash)	**$ (78,679)**	$ (16,673)	$ (33,150)	$ (51,984)

Management's Discussion and Analysis

FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, "forward-looking information" within the meaning of applicable securities laws. These statements are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking information in this document includes, but is not limited to, statements concerning expectations regarding actions to reduce costs and improve efficiencies, restore volumes and/or increase prices, timing of promotional investment, improving business trends, expected duplicative overhead costs incurred due to the concurrent operation of the new Hamilton fresh bakery and existing bakeries, expectations regarding the timing and amount of capital investments; expectations regarding the timing and cost of plant closures; the expected use of cash balances, source of funds for ongoing business requirements, capital investments and debt repayment, and expectations regarding sufficiency of the allowance for uncollectible accounts. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking information. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, U.S. and U.K. economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking information, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking information include, among other things:

- the risks associated with changes in the Company's shared systems and processes
- the Company's exposure to currency exchange risks
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options
- the impact of international events on commodity prices and the free flow of goods
- the risks associated with a consolidating retail environment
- the risks posed by food contamination, consumer liability and product recalls
- the risks related to acquisitions and capital expansion projects
- the risks posed by compliance with extensive government regulation
- the risks posed by litigation
- the impact of changes in consumer tastes and buying patterns
- the impact of extensive environmental regulation and potential environmental liabilities
- the risks associated with complying with differing employment laws and practices globally, the potential for work stoppages due to non-renewal of collective agreements and recruiting and retaining qualified personnel
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates
- the risks associated with the Company's independent distributors

- the risks posed by competition
- the risks associated with pricing the Company's products
- the risks associated with managing the Company's supply chain; and
- the risks associated with failing to identify and manage the strategic risks facing the Company.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2011 and are updated each quarter in the Management's Discussion and Analysis, which are available on SEDAR at www.sedar.com. The reader should review such section in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking information, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

The Company, which is 90% owned by Maple Leaf Foods Inc. (TSX: MFI), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2011 sales of $1.6 billion and employs approximately 6,000 people at its operations across North America and in the United Kingdom.